

The Concrete Cowboy

Gautam Adani-led Adani Group's acquisition of Holcim's cement businesses in India catapults it to the No. 2 spot. Here's why it makes strategic sense

BY KRISHNA GOPALAN

► **IF THERE IS ONE** word that can describe the strategic moves of India's cement industry in recent times, it is this: consolidation. The latest instance of this strategy has seen Swiss cement major Holcim exit India, and the Adani Group, which had no presence in the space earlier, become the second-largest cement maker in the country overnight. The exit of Holcim has substantially altered the form and dynamics of the cement industry in India. After being around for close to two

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decades, the international major thought it wise to instead focus on markets where the opportunity in solutions and products was more attractive. In that scenario, India figured low in the pecking order, with Holcim already calling it quits in Brazil, Northern Ireland, Sri Lanka, Malaysia and Russia.

In a \$10.5-billion deal, the Adani Group picked up two well-known companies—Ambuja Cement and ACC—that Holcim owned. These are strong brands across geographies and together, they are a formidable force covering the Indian landscape. These two brands together have an installed capacity of 70 million tonnes per annum (mtpa). That, however, is quite a distance behind UltraTech, which has an installed capacity of 120 mtpa, and is the largest cement maker in

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FROM A STRATEGIC POINT OF VIEW, THERE IS A LOT THAT AMBUJA AND ACC BRING TO THE TABLE. THIS POINT HAS NOT BEEN MISSED BY GAUTAM ADANI, CHAIRMAN OF THE ADANI GROUP